



SMU

SINGAPORE MANAGEMENT
UNIVERSITY

Lee Kong Chian
School of
Business

WORK RELATIONSHIPS AND TEAMS

- Session 5 – OBHR101

WHAT DID YOU LEARN IN THE LAST CLASS?

- ▶ Take notes – you've got 2 minutes
- ▶ Then share with the class

RECAP SESSION 4



- ▶ **People are “boundedly” rational**
 - We simplify complex situations to make “**good enough**” decisions
 - Uncertainty and cognitive limits can produce **systematic biases**

- ▶ **Decision quality can break down at multiple levels**
 - **Individual**: overconfidence, sunk costs, selection bias
 - **Group**: power distance, leadership, lack of familiarity
 - **System**: complex interactions and tight coupling

- ▶ **Better decisions require better decision processes**
 - Use **incentives, nudges, and training**
 - Create **psychological safety** so people speak up
 - Use **contingency planning** when failure is possible

TODAY: HOW TEAMS SUCCEED AND FAIL

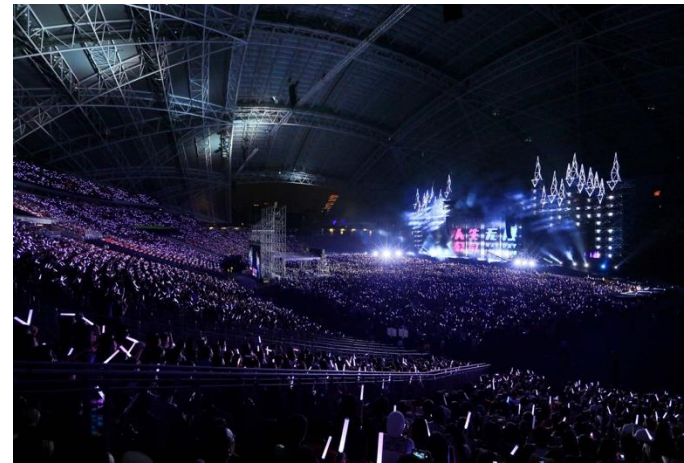
- By the end of today, you should be able to:
 - Distinguish groups from teams and explain what creates positive synergy
 - Explain why teams can outperform individuals and why they sometimes do not
 - Diagnose key team processes that produce gains or losses in performance
 - Explain how cohesion and group norms can shape team performance
 - Compare different ways teams develop over time, including a stage model and punctuated equilibrium model

ARE THESE GROUPS?

WHEN ARE GROUPS TEAMS?

Group = Two or more individuals, interacting and interdependent, who have come together to achieve particular objectives.

- A couple cooking dinner together
- 55,000 people watching an event at National Stadium
- 40ish students in *this* O.B. class
- 200 people on a beach



WHAT DISTINGUISHES WORK TEAMS AND GROUPS?

- **Work group** = A group that interacts primarily to share information and make decisions to help each group member perform within their respective area of responsibility
- **Work team** = A group whose individual efforts result in performance that is greater than the sum of the individual inputs.



ARE THEY A WORK TEAM?

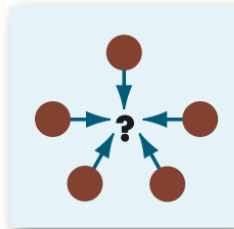


WORK GROUPS VS. WORK TEAMS

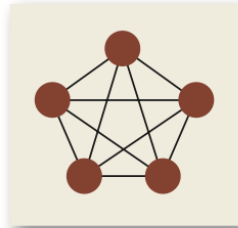
	<u>WORK GROUP</u>	<u>WORK TEAM</u>
Primary goal	Share information	Collective performance
Synergy	Neutral or potentially negative	Positive
Accountability	Individual	Individual and mutual
Skills	Varied	Complementary

Exhibit 10-2

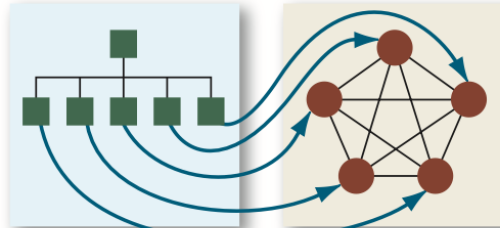
Four Types of Teams



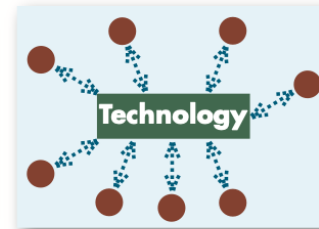
Problem-solving



Self-managed



Cross-functional



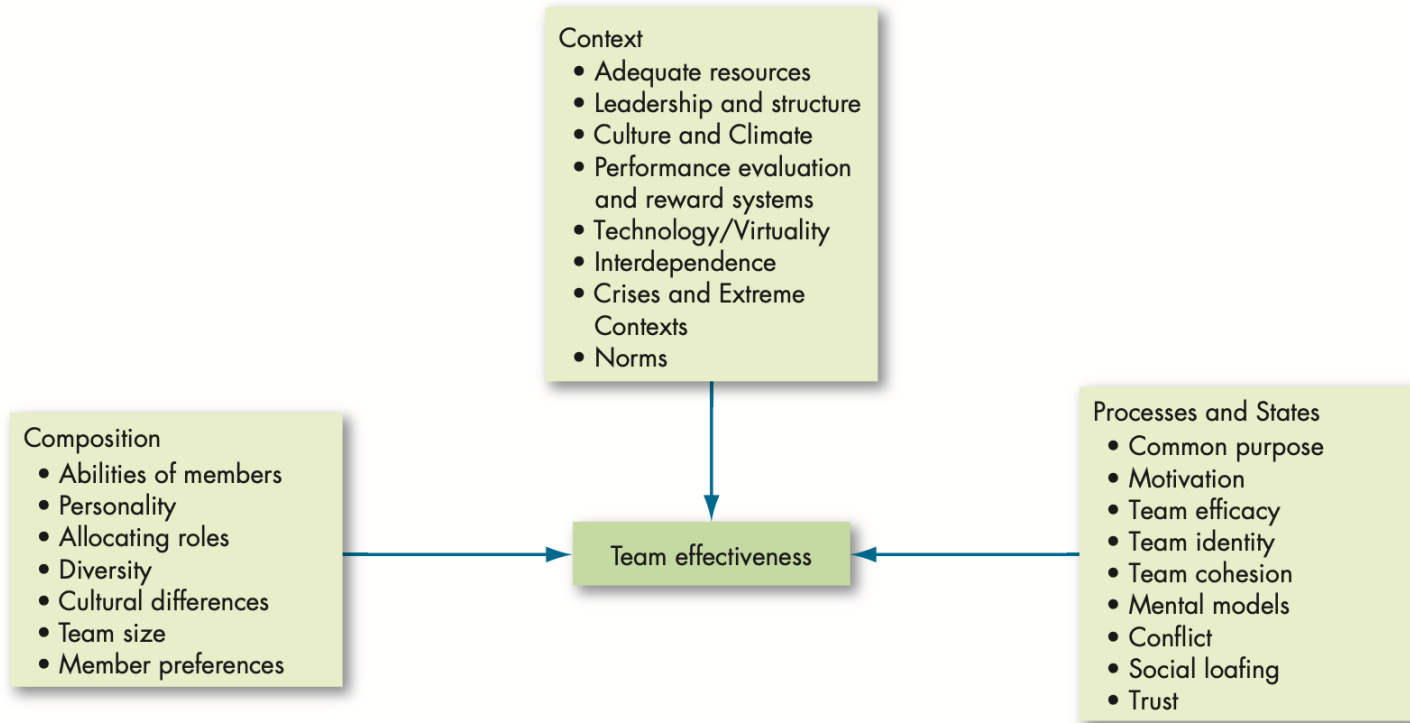
Virtual

- **Problem-solving teams**
Discuss and recommend ways to improve processes or outcomes
- **Self-managed work teams**
Assume substantial responsibility for managing their own work
- **Cross-functional teams**
Bring together people from different functional areas
- **Virtual teams**
Use technology to connect geographically dispersed members

TEAM EFFECTIVENESS

Exhibit 10-3

Team Effectiveness Model



TODAY'S FOCUS: How teams turn individual resources into (or fail to turn them into) collective performance.

DESERT SURVIVAL

Let's see what we've gotten ourselves into...

- You and your team have survived a **plane crash in the desert.**
- It is late morning in August, the weather is clear, and the temperature is expected to become **dangerously hot.**
- The plane has burned down, the pilots are dead, and the surviving passengers are uninjured.
- Before the crash, the pilot was unable to radio your exact position. You believe you are many miles from the nearest known settlement and not exactly on the planned flight route.
- You have some items that were salvaged from the wreckage. **Rank them from 1 to 15, where 1 is most important for survival.**



STEP 1: CREATE YOUR INDIVIDUAL RANKINGS

- Now rank the items individually (5 minutes); No talking please!
- Rank these items in the order of their importance to your team's survival
- Rank 1 = Most important; Rank 15 = Least important

Salvaged Items
Flashlight (4-battery size)
Jackknife
Sectional air map of area
Plastic raincoat (large size)
Magnetic compass
Compress kit with gauze
.45 caliber pistol (loaded)
Parachute (red and white)
Bottle of salt tablets (1000 tablets)
1 quart (950ml) of water per person
Book entitled, <i>Edible Animals of the Desert</i>
Pair of sunglasses per person
2 quarts (1890ml) of 180 proof vodka
1 top coat per person
Cosmetic mirror

**Check your email
for your
worksheet**

"Desert Survival Ranks"

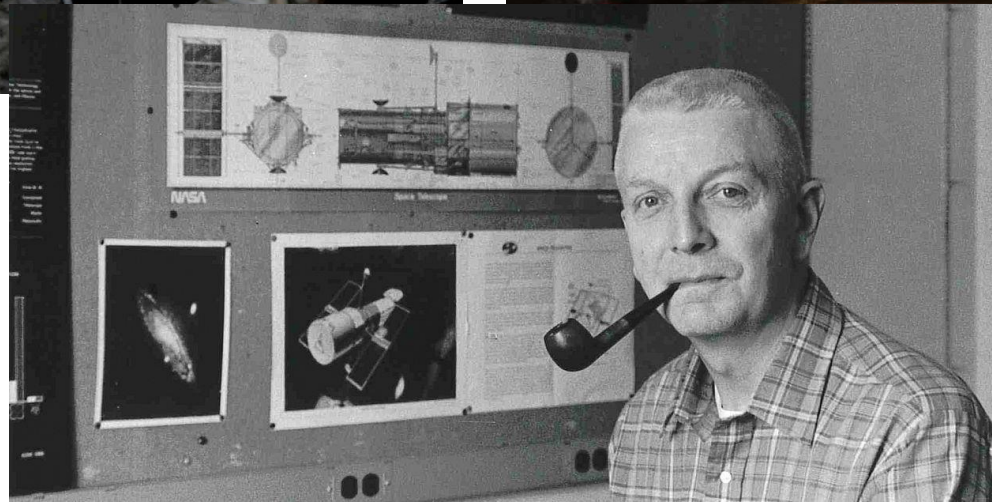
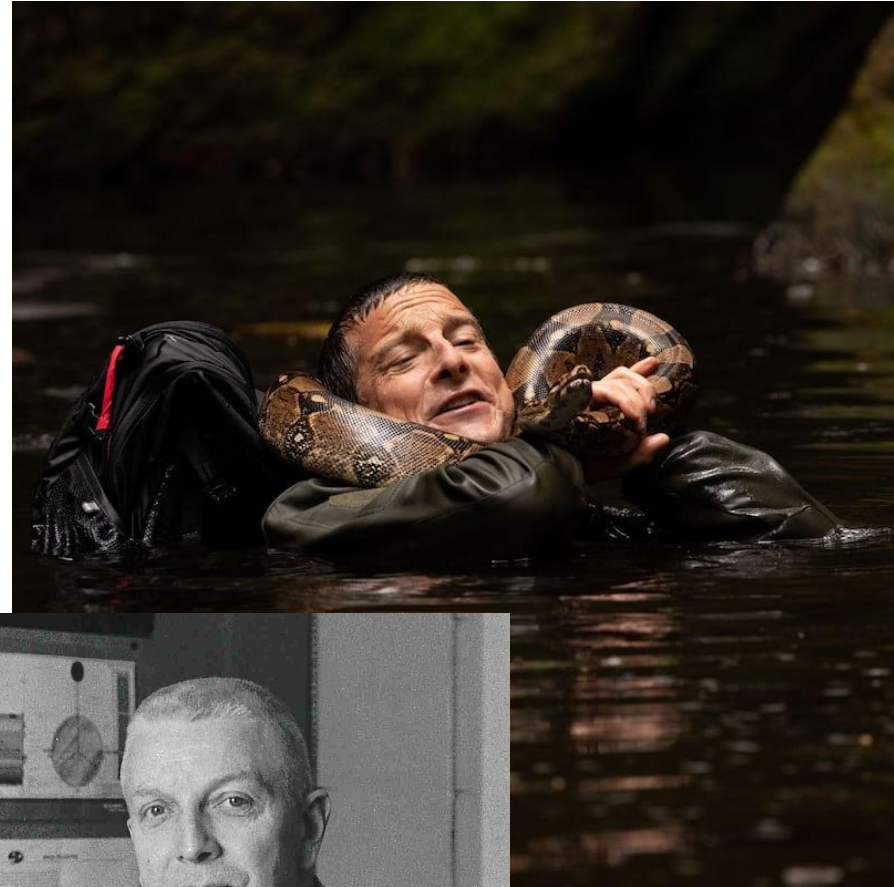
**Remember to save
your individual ranks
(we'll need them later)**

STEP 2: CREATE YOUR TEAM RANKINGS

Now rank the items in your project groups (15 minutes)

- Discuss and rank
- But, after 15 minutes, there can only be one group ranking
- Once teamwork begins, **do not change your individual rankings**
- **Don't forget to record your rankings under Step 2 (team ranks) . Every group member needs to do this.**

THE EXPERT'S RANKINGS



Salvaged Items	Expert's Rank
Flashlight (4-battery size)	4
Jackknife	6
Sectional air map of area	12
Plastic raincoat (large size)	7
Magnetic compass	11
Compress kit with gauze	10
.45 caliber pistol (loaded)	8
Parachute (red and white)	5
Bottle of salt tablets (1000 tablets)	15
1 quart (950ml) of water per person	3
Book entitled, <i>Edible Animals of the Desert</i>	13
Pair of sunglasses per person	9
2 quarts (1890ml) of 180 proof vodka	14
1 top coat per person	2
Cosmetic mirror	1

Check your email:

[“Desert Survival Answers...”](#)

These will be in the excel sheet for calculating performance

Underlying logic: Maximize the chance of being found, stay with the wreckage, minimize dehydration, create shade, and do not try to walk out in the desert.

MEASURE PERFORMANCE

Individual Score (Lower = Better)

- Step 1 - Step 3 (Absolute value)
- Sum of absolute differences between Individual Rank and the Expert's Rank for each item

Items	<u>Step 1</u>	<u>Step 2</u>	<u>Step 3</u>	<u>Step 4</u>	<u>Step 5</u>
	Individual Rank	Team Rank	Expert Rank	Individual - Expert Rank (absolute value)	Team - Expert Rank (absolute value)
Book	4		13	9	
Parachute	7		5	2	
...					
...					
			Total	9+2+...	

MEASURE PERFORMANCE

Team Score (Lower = Better)

- Step 2- Step 3 (Absolute value)
- Sum of absolute differences between Team Rank and the Expert's Rank for each item

Items	<u>Step 1</u>	<u>Step 2</u>	<u>Step 3</u>	<u>Step 4</u>	<u>Step 5</u>
	Individual Rank	Team Rank	Expert Rank	Individual - Expert Rank (absolute value)	Team - Expert Rank (absolute value)
Book	4	5	13	9	8
Parachute	7	5	5	2	0
...					
...					
Total				9+2+...	8+0+...

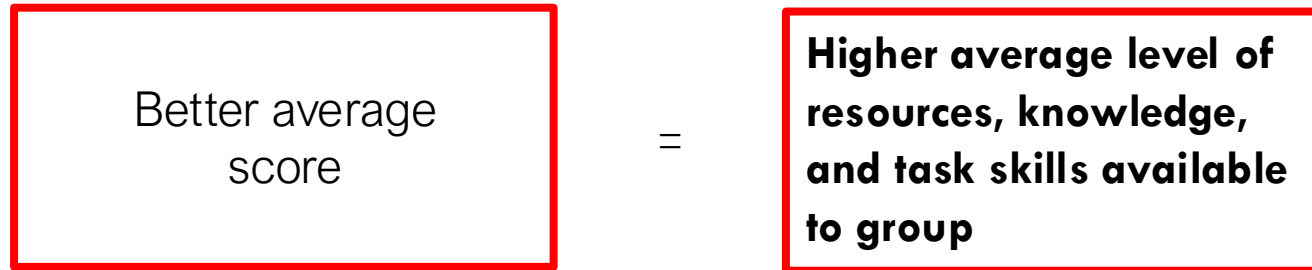
SO, HOW DID IT GO?

- Team scores?
- Individual scores?
- Was your group score better than your individual score?
- Was your individual score better?

GROUP VS. INDIVIDUAL DECISION-MAKING

Average individual score

- Knowledge/expertise that members bring to the group individually



Group performance is more than the knowledge/expertise individuals bring to the task

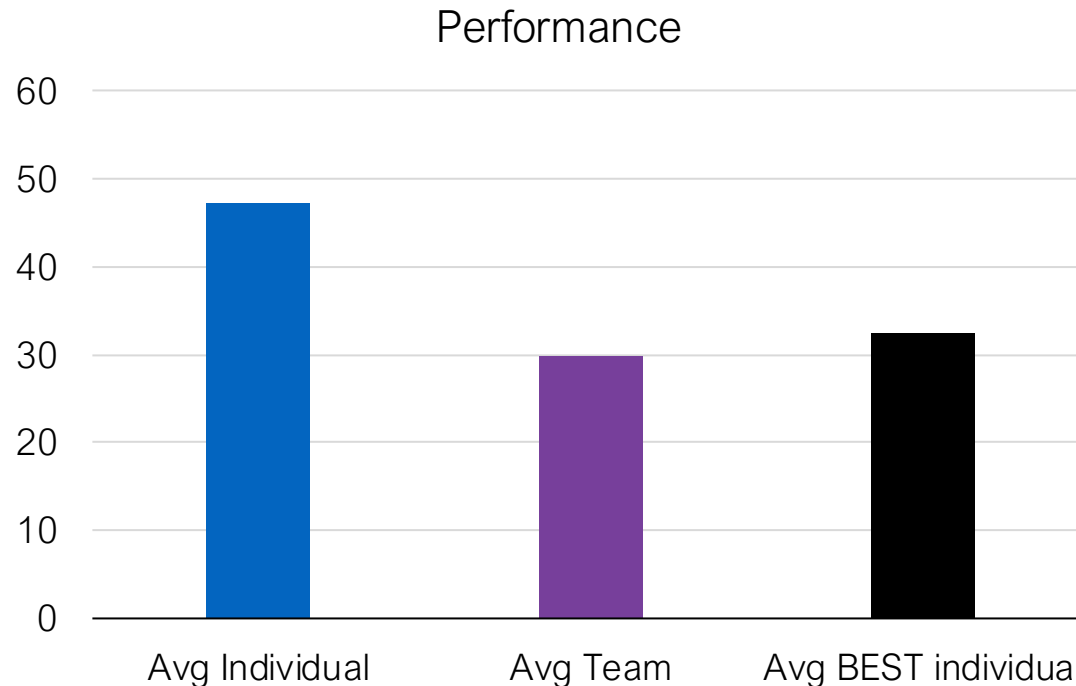
Average individual score > Group score → Evidence of [Process Gain](#)

Average individual score < Group score → Evidence of [Process Loss](#)

This ratio is used as a basis for evaluating how well group worked together

GROUP-DECISION MAKING

Results based on 1,228 participants (244 groups)

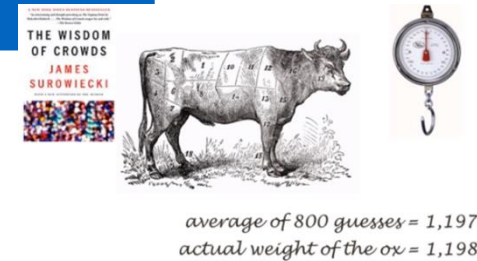


Groups tend to perform better than the average individual, but (sometimes) worse than the best member. In this study, they performed similar to the best individual.

GROUP DECISION MAKING: ADVANTAGES AND COSTS

POTENTIAL ADVANTAGES:

- More complete information and knowledge
- Greater diversity of perspectives
- More alternatives
- Greater acceptance of the final decision



POTENTIAL COSTS:

- Takes more time
- Conformity pressures
- Domination by a few members
- Diluted responsibility (Bystander effect)
- Conflict
- Failure to surface unique information



BYSTANDER EFFECT

Bystander effect: People are less likely to intervene or provide help when other potential helpers are present.

Diffusion of responsibility: As the number of potential responders increases, each individual feels less personally responsible for acting.



WHO GETS HEARD? STATUS AND DOMINANCE

STATUS: A socially defined position or rank within a group.

Status can come from:

- power over resources or outcomes
- ability to contribute to group goals
- characteristics the group values



BUT GROUPS ALSO USE IMPERFECT STATUS CUES

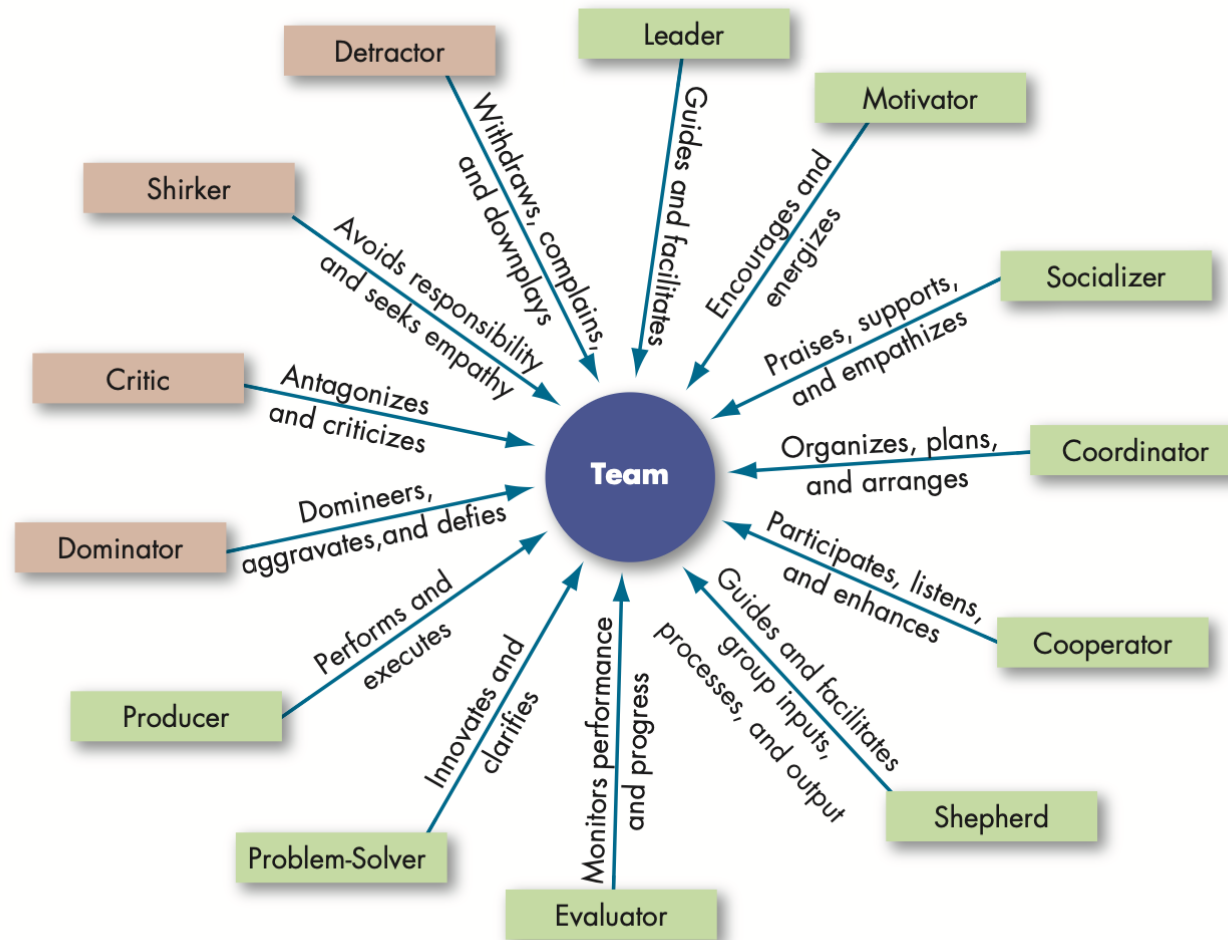
Dominant (i.e., self-assured and assertive) members tend to wield disproportionate influence. They may be judged as more competent **even when they are not.**

Reflection question: In Desert Survival, did confidence and influence track actual expertise?

ROLES EMERGE

Exhibit 10-4

Key Roles of Teams



Effective teams need **role clarity** and should allocate roles in ways that use members' strengths.

WHEN ACCOUNTABILITY DISAPPEARS: SOCIAL LOAFING

Social loafing: The tendency to exert less effort when working collectively than when working individually.

WHY DOES IT HAPPEN?

- Individual contributions are difficult to identify
- Responsibility becomes diffused
- Members perceive others as not carrying a fair share
- Free riding becomes attractive
- A motivation problem



valeria
@amyadums

me in a group project

CREW



Jordan Peele
Director



Jordan Peele
Writer

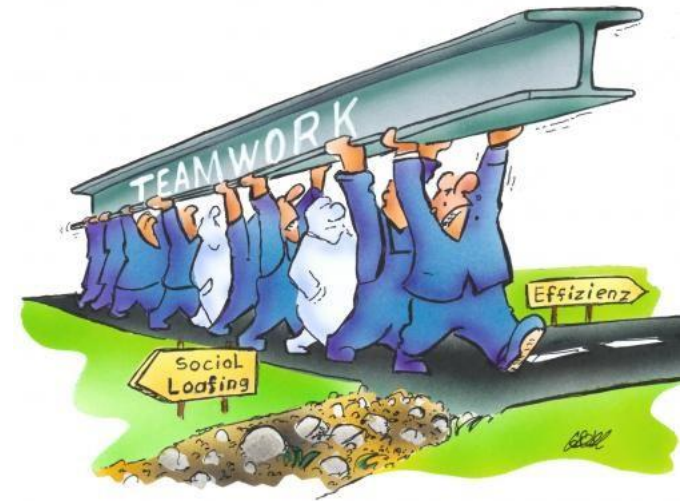


Jordan Peele
Producer

WHEN ACCOUNTABILITY DISAPPEARS: SOCIAL LOAFING

Reduce social loafing by:

- Setting clear group goals
- Making individual contributions visible
- Evaluating each other
- Giving members meaningful individual ownership



FOR YOUR PROJECT: Clear owners + clear deadlines + visible contribution

NOT ALL CONFLICT IS THE SAME

RELATIONSHIP CONFLICT: Disagreement rooted in interpersonal incompatibility, tension or animosity

Almost always harmful to team functioning



Prevent task disagreement from becoming personal conflict.

TASK CONFLICT: Disagreement about task content, ideas, goals or strategies

Can be useful under the right conditions:

- the work is nonroutine or requires judgment
- disagreement is **moderate** rather than extreme
- members critically evaluate ideas
- conflict remains task-focused
- members feel safe speaking up



IS A COHESIVE TEAM ALWAYS A GOOD TEAM?

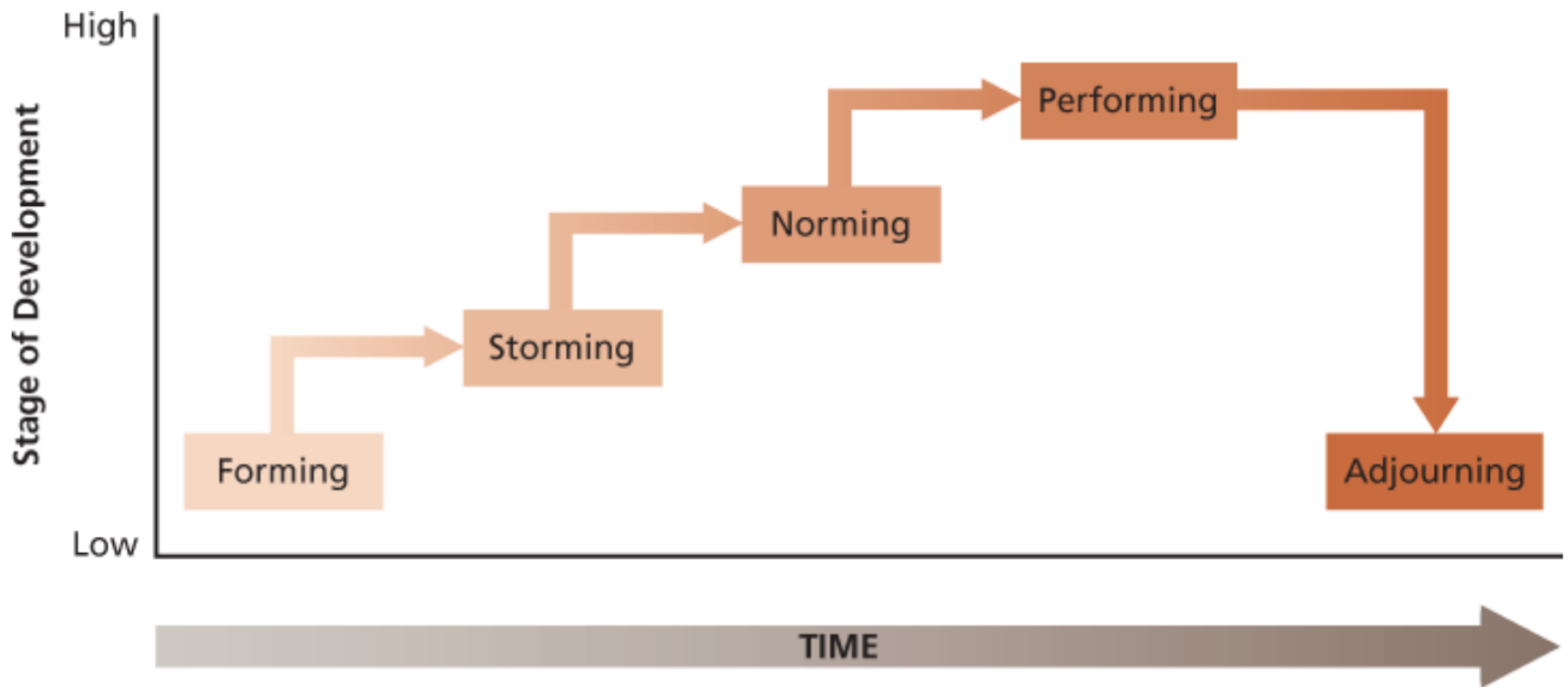
Exhibit 9-4

Relationship Among Group Cohesion, Performance Norms, and Productivity

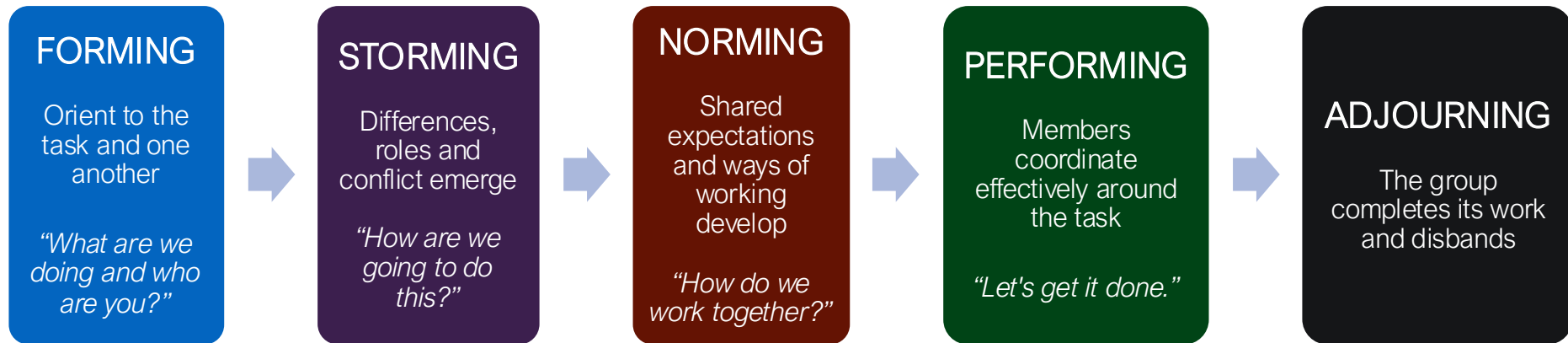
		Cohesion	
		High	Low
Performance Norms	High	High productivity	Moderate productivity
	Low	Low productivity	Moderate to low productivity

COHESION AMPLIFIES THE GROUP'S NORMS: A close-knit team with weak performance norms can become very effective at ensuring low performance.

TUCKMAN'S STAGES OF GROUP DEVELOPMENT



TUCKMAN'S STAGES OF GROUP DEVELOPMENT

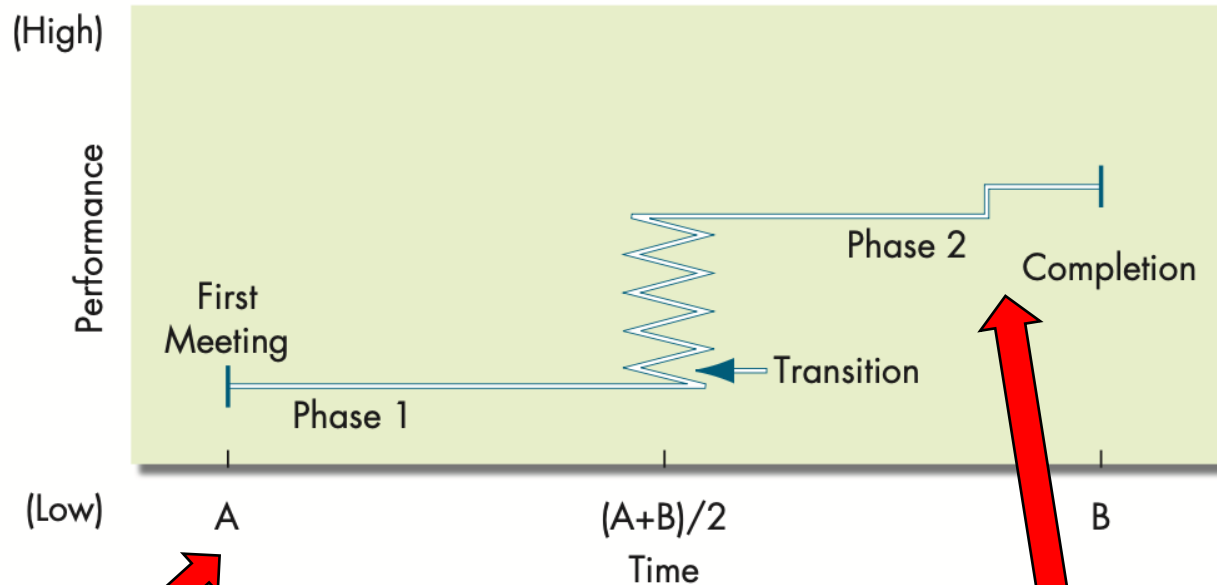


Useful framework. But teams do not necessarily move through these stages neatly or only once

TEMPORARY PROJECT TEAMS OFTEN DEVELOP DIFFERENTLY

Exhibit 9-1

The Punctuated-Equilibrium Model



- Relative inertia
- The team largely follows its initial approach

- Members realize time is running out
- Old assumptions are questioned
- The team revises its approach

- Revised plans are executed
- Final burst of activity

WHICH TEAM WILL YOU BECOME?

Think about your group projects and team.

- What informal roles are already emerging?
- What norms are already forming?
- Who tends to speak first and who speaks least?
- What will make everyone's expertise and contribution visible?
- What will your team's **midpoint** be?
- How can you avoid waiting for a midpoint crisis before changing course?

The way your team works is itself an OB problem you can manage.

FINAL EXAM (40%): WHAT TO EXPECT

Format

- 2 hours
- Closed book
- Completed online in class on your laptop (exact venue TBD)
- 25 MCQs $\times$ 2 marks = 50 marks
- 5 essay-style questions $\times$ 10 marks = 50 marks
- No calculator, dictionary, booklet, or blank paper required

Question types

- MCQs: concepts, distinctions, findings, short scenarios, etc.
- Essay questions: application, diagnosis, explanation, recommendation
- Practice questions will be distributed

FINAL EXAM (40%): HOW TO DO WELL

- Focus primarily on the slides and material explicitly taught in class
- Use the textbook to strengthen your understanding of those ideas
- Know the key concepts, theories, findings, and frameworks
- Be able to:
 - define a concept
 - distinguish it from related concepts
 - recognize it in a scenario
 - apply it to explain what is happening
 - recall important research findings
- For written responses:
 - answer the question directly
 - use the most relevant concepts
 - explain your reasoning clearly and concisely
 - use examples

Important: Only conceptual lessons and takeaways from in-class exercises are relevant. No need to remember non-OB information (e.g., what temperature was it on the morning of the race, what item was ranked 1st in the survival list).

GROUP PROJECT (37%)

You are a **consulting team** helping an organization understand people problem.

1

Synthesis

What is the organization, challenge and context?

2

In-depth analysis

Which OB theories explain the individual, interpersonal or contextual

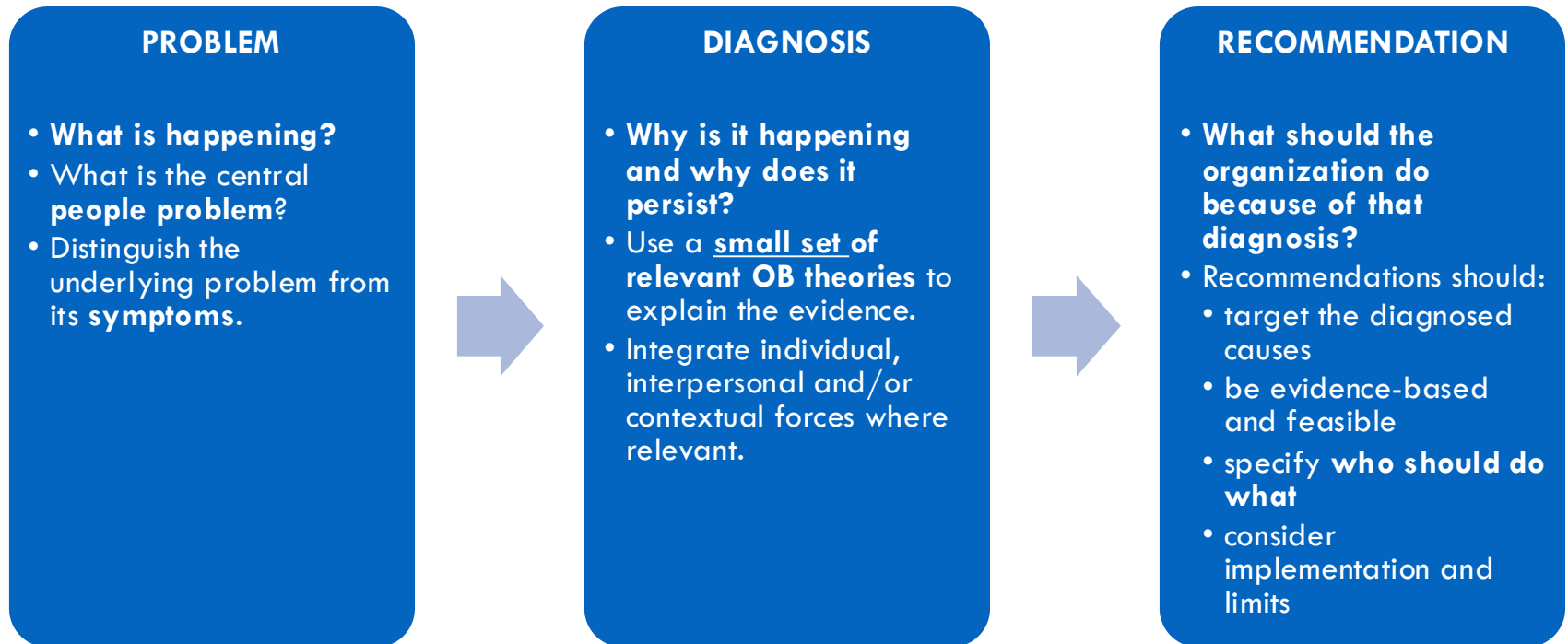
3

Evidence-based recommendations

What should the organization do, and when might your advice not be effective?

Deliverables: (1) Maximum 6-page written report + (2) 10–12 presentation + 3–5 minute Q&A

A STRONG PROJECT HAS A CAUSAL SPINE



Stress test: If changing your diagnosis would not change your recommendations: (1) the two are either disconnected or (2) your diagnosis or recommendations are not specific enough.

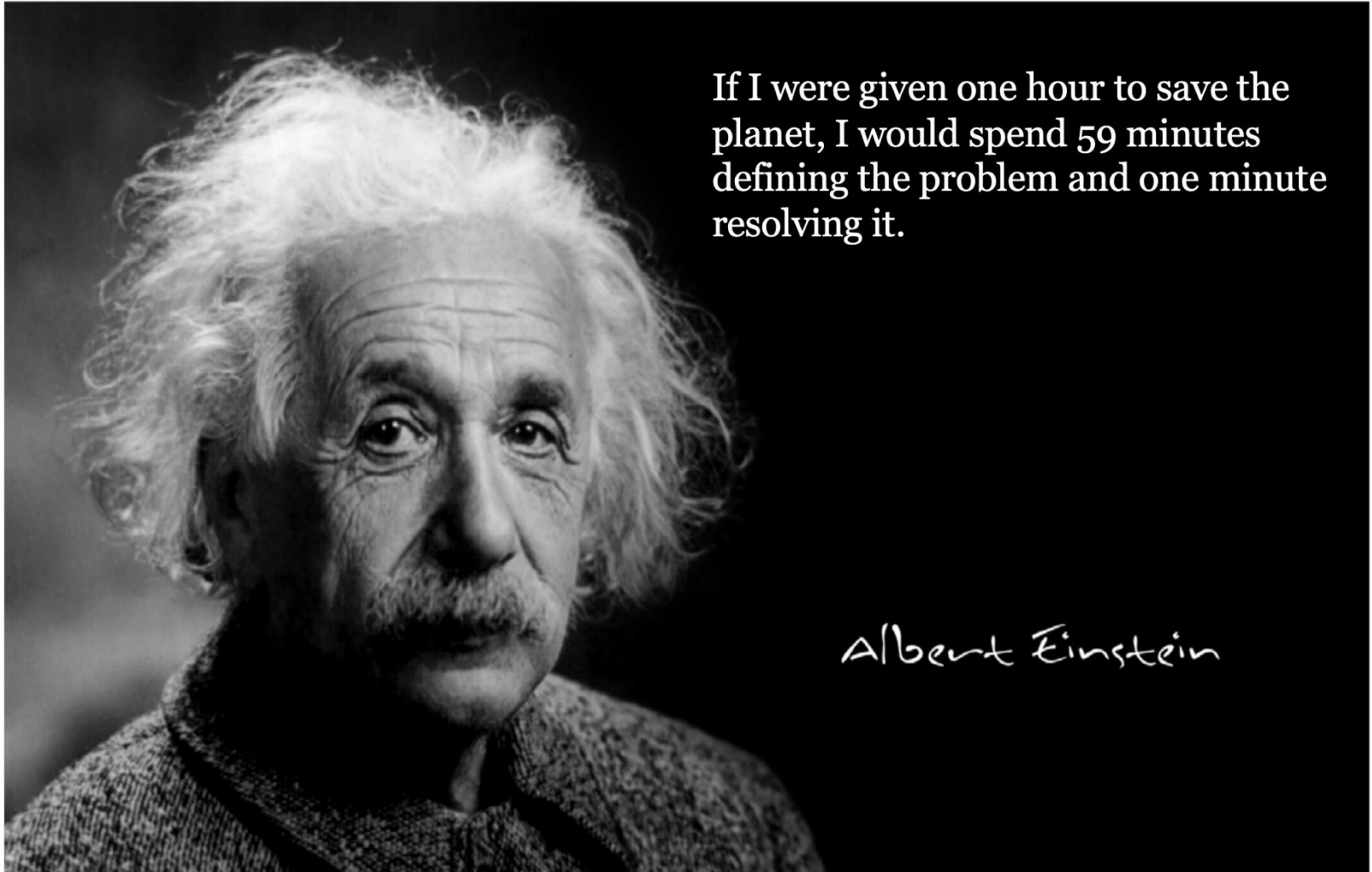
PROBLEM: DEFINE THE PROBLEM BEFORE SOLVING IT

1. **CURRENT EVIDENCE:** What *actually* happening?
2. **DESIRED STATE:** What *should* be happening?
3. **THE GAP:** What is the central **people problem** that needs explaining?

Distinguish SYMPTOMS (What you observe) from **UNDERLYING ISSUES** (What may be causing and sustaining the problem)

Part of identifying the problem is being able to locate both.

IDENTIFY THE PROBLEM



If I were given one hour to save the planet, I would spend 59 minutes defining the problem and one minute resolving it.

Albert Einstein

DIAGNOSIS: CHOOSE THEORY AND CONCEPTS SELECTIVELY

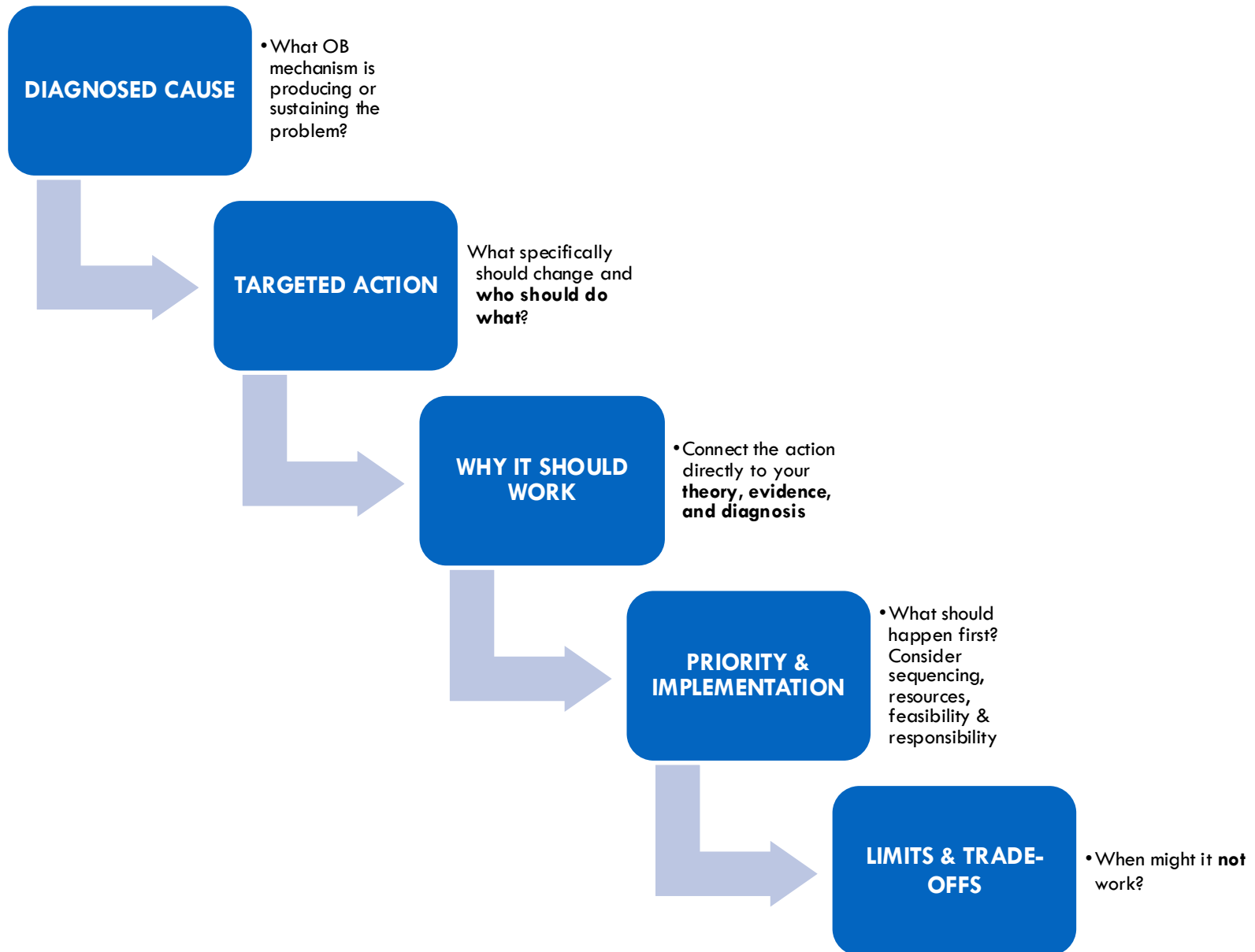
WEAK

- Example: Low motivation is the problem
- To analyze the problem, apply theory and concepts from:
 - Leadership
 - Personality
 - Culture
 - Teams
 - Stress
 - Power
 - Communication
 - ...
- Lots of concepts $\neq$ deep analysis

STRONG

- Instead, select a small set of theories/concepts that are:
 - highly relevant to the problem
 - understood and applied precisely
 - complementary rather than redundant
 - supported by the evidence
- Then show how the mechanisms fit together to explain why the problem emerged and why it persists
- Also consider (and eliminate) plausible alternative explanations where they matter.

FROM DIAGNOSIS TO RECOMMENDATION



PROJECT EXERCISE: IDENTIFYING THE PROBLEM

- 1. Where could a worthwhile problem be identified?**
- 2. Generate one potential people problem**
- 3. Decide what you need to find out next**

NEXT TIME ...

Communication, persuasion and influence

Reading for **today's** class:

- **Ch. 9:** Foundations of Group Behavior
- **Ch. 10:** Understanding Work Teams

